

who makes \$50,000 per year, you do not have to pay taxes on all of your \$50,000 salary. If you choose the standard deduction of \$12,400, your taxable income drops from \$50,000 to \$37,600. In other words, the deduction means that \$12,400 of your salary will be completely tax-free. Congratulations!

When you receive your paycheck, you will likely have money taken out for both federal and state income taxes. For the sake of this discussion, we are going to focus solely on federal income taxes because state income taxes vary, and if you understand how federal taxes work, you will be able to understand how state taxes work. **Federal income tax** is money that goes to the national government, while **state income tax** goes to the state you live in. Some states, including Alaska, Florida, Nevada, New Hampshire, South Dakota, Tennessee, Texas, Washington, and Wyoming, do not have a state income tax.<sup>32</sup>

The United States uses a **progressive tax system** for federal income tax, which means people fall into different **tax brackets** based on the amount of money they make.<sup>33</sup> As you make more money, you are taxed at a higher rate. Table 7.1 lists the 2020 federal tax brackets for single (unmarried) filers. Tax brackets may change from year to year, and they are slightly different for married couples, but for now we will focus on understanding how tax rates work.

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32 Jim Probasco, "9 States With No Income Tax," Investopedia, August 10, 2020, <https://www.investopedia.com/financial-edge/0210/7-states-with-no-income-tax.aspx>.

33 Some states have a flat tax rate, which means they tax all income levels at a single rate.